



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



01.1_DSCR

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EXHIBIT 01.1: PROJECTED DSCR & DEBT SERVICEABILITY

Project: TITAN Grid (ARS Metal Industries d.o.o.)

Classification: Primary Credit Resilience Analysis

Date: March 2026

1. EXECUTIVE SUMMARY: DEBT SERVICE CAPACITY

The financial architecture of the TITAN Grid is designed to sustain a robust liquidity profile throughout the entire credit lifecycle. The key metric, **Debt Service Coverage Ratio (DSCR)**, is firmly supported by an **EBITDA margin surpassing 50%**, which is fueled by Industry 4.0 automation and a vertically integrated supply chain.

For the Senior Lender, this indicates a **low-risk investment**, as operational cash flow is projected to cover debt obligations by a factor of **10x to 29x** during the initial five years of operation.

2. CONSOLIDATED DSCR MATRIX (BASE CASE)

The table below illustrates the project's ability to service the proposed **€16,000,000 facility** (Principal + Interest), taking into account a 24-month grace period:

Financial Metric / Year (€)	Year 1 (Grace)	Year 2 (Grace)	Year 3 (Full Ops)	Year 4	Year 5
Net Profit	4,368,363	11,504,963	15,816,375	17,297,500	18,857,250
Depreciation (+)	1,277,500	1,277,500	1,277,500	1,277,500	1,277,500
Interest Expense (+)	450,300	450,300	450,300	405,270	360,240
A. OPERATIONAL CASH (EBITDA)	6,096,163	13,232,763	17,544,175	18,980,270	20,494,990
B. ANNUAL DEBT SERVICE	450,300	450,300	1,635,300	1,590,270	1,545,240
DSCR RATIO (A / B)	13.54x	29.38x	10.73x	11.93x	13.26x





TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

3. STRUCTURAL DRIVERS OF SERVICEABILITY

The elevated Debt Service Coverage Ratio (DSCR) levels are grounded not in optimistic market projections, but in clear operational efficiencies:

- **Solar Utility Offset (ESG Alpha):** The **1.4 MWp** solar array achieves approximately a **70%** reduction in energy operating expenses, safeguarding cash flow against grid fluctuations and carbon tax changes.
- **Yield Optimization:** AI-driven nesting on 30 kW laser platforms minimizes material waste to less than 4%, compared to the regional industry average of 15%, thereby enhancing the EBITDA buffer.
- **Off-take Security:** Pricing agreements with Tier-1 partners (**Siemens/Hitachi**) ensure that debt service remains a top priority in the payment hierarchy.

4. LENDER SAFETY MARGIN

TRANSFORMER TANKS & FIN WALLS

- **Covenant Compliance:** The project sustains a **DSCR** well above the typical **1.20x** covenant mandated by international financial institutions.
- **Liquidity Cushion:** By Year 3, even after fully servicing debt, the Company retains **€15.9 million** in **Free Cash Flow (FCF)**, providing a robust liquidity buffer against any unexpected market fluctuations.

Respectfull,

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